

what you have already bought. This situation mainly arose because I neither studied the stocks I was buying nor did I buy blue chip stocks which can give dividend cash flow. I did profit from a few of those stocks by making use of the Rupee Cost Averaging principle but I am stuck with many of them even today. And it needs guts to sell them off at big losses.

- After this experience of blocked stocks and seeing a long downtrend in the market, I realized the hard way, what I read in Robert Kiyosaki's book, that we should always invest for cash flow rather than capital gains. One does not understand till one actually goes through the experience oneself. I put my mistakes behind me, but made sure I did not repeat them. After this experience, I made sure that my future investments were mainly targeted towards cash flow generating blue chip stocks.
- You must do your own research to decide which dividend yielding stocks you should invest in. It is very easy to get the information on dividends distributed by any company over the last few years. You can simply go to stock exchange websites of the National Stock Exchange (NSE) (<http://nseindia.com/>) or the Bombay Stock Exchange (BSE) (<http://bseindia.com/>) and search for a specific company to get all the details about the company including the dividend amounts and the ex-dividend dates, at least for the last 5 years. Remember the importance of 'ex-dividend date' if you are investing for dividends.
- I did a comparative analysis on my equity portfolio by collecting some basic information around the dividend yield and the ex dividend date. This analysis allowed me to invest in good dividend yielding stocks on dips, thus making use of the concept of Rupee Cost Averaging for high capital gains as well as good cash flow because of high dividends.
- While it is advisable to invest into mainly dividend yielding stocks till you become financially free and are in a position to take bigger risks, you should not forget that these dividend yielding stocks can yield handsome capital gains as well. You should never forget the potential of Rupee Cost Averaging in giving you handsome capital gains along with dividends. Keep investing in such stocks on dips. It also pays handsomely to do a